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Investment Analysis – Mondelez International

Valuation & Industry Analysis in Consumer Packaged Goods (CPG)

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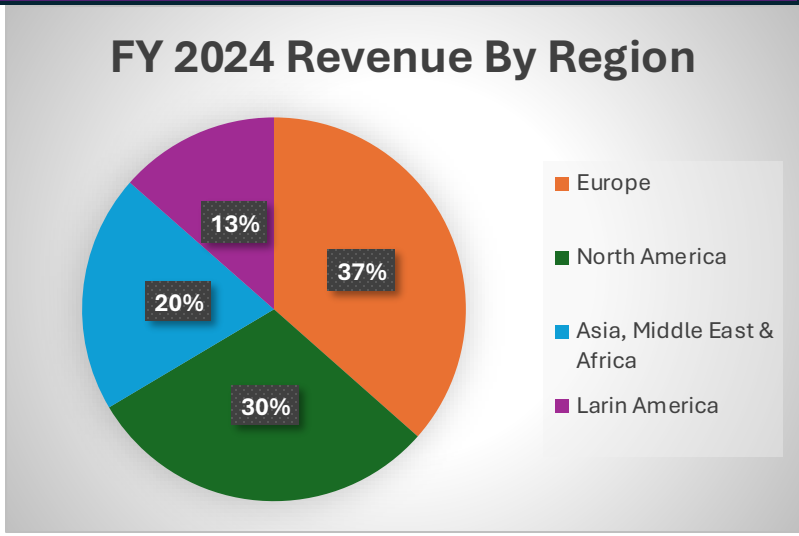
Company Profile:

- HQ: Chicago, LI
- Revenue: ~$36B (2024E)
- Employees: ~90K
- Geographic Reach: 150+ countries
- Segments: Biscuits, Chocolate, Gum/Candy, Beverages



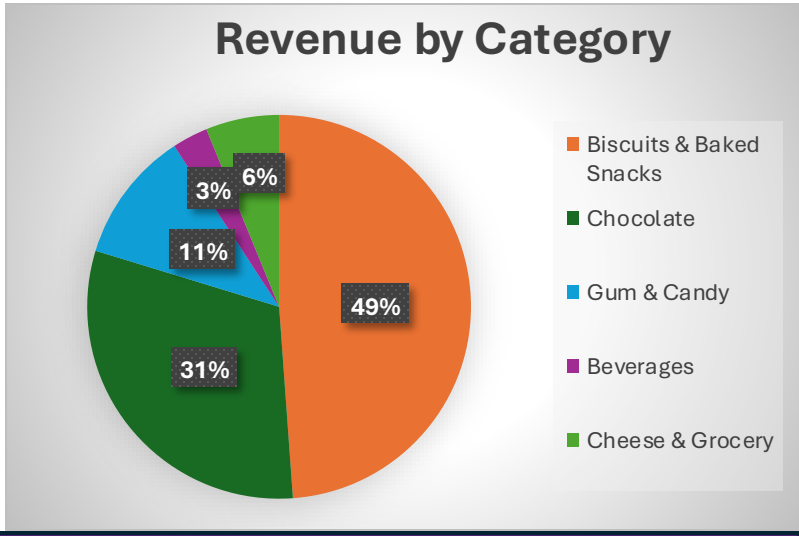
Investment Thesis:

Drivers:

- Global snack leader with market share strength
- +35% sales from emerging markets (growth driver)
- M&A expands product mix (Clif, Tate's, Hu)

Risks:

- Cocoa and input cost volatility
- Private label competition
- FX exposure in Europe & LATAM



DCF Forecast & Valuation Summary – Mondelez

DCF Forecast	2025E	2026E	2027E	2028E	2029E
Revenue	$ 37,685	$ 39,004	$ 40,370	$ 41,782	$ 43,245
% Growth	3.5%	3.5%	3.5%	3.5%	3.5%
EBITDA	$ 7,726	$ 7,996	$ 8,276	$ 8,565	$ 8,865
Margin	20.5%	20.5%	20.5%	20.5%	20.5%
D&A	$ 1,319	$ 1,365	$ 1,413	$ 1,462	$ 1,514
EBIT	$ 6,407	$ 6,631	$ 6,863	$ 7,103	$ 7,352
Tax (on EBIT)	$ 1,602	$ 1,658	$ 1,716	$ 1,776	$ 1,838
NOPAT	$ 4,805	$ 4,973	$ 5,147	$ 5,327	$ 5,514
(Capex)	$ 1,319	$ 1,365	$ 1,413	$ 1,462	$ 1,535
(Change In NWC)	$ (754)	$ (780)	$ (807)	$ (836)	$ (865)
Unlevered FCF	**$ 5,559**	**$ 5,753**	**$ 5,955**	**$ 6,163**	**$ 6,357**

Valuation	(WACC = 8%, Terminal Growth = 2.5%)	
Present Value of Forecast FCF	$	23.7B
Present Value of Terminal Value	$	80.7B
Enterprise Value	**$**	**104.B**
Less: Net Debt	$	16.4B
Equity Value	**$**	**87.9B**
Shares Outstanding		1.36bn
Implied Share Price	**$**	**65**
Current Price	**$**	**63**

WACC\ g	2.0%	2.5%	3%
7.0%	$ 80	$ 87	$ 95
7.5%	$ 71	$ 77	$ 84
8.0%	$ 60	$ 65	$ 71
8.5%	$ 55	$ 59	$ 64
9.0%	$ 50	$ 54	$ 58

Comparable Companies

Company Name	Market Data			Operatig Metrics			Valuation		
	Ticker	MarketCap ($B)	EV ($B)	Revenue ($B)	EBITDA ($B)	Netincome ($B)	EV/Revenue X	EV/EBITDA X	P/E X
Mondelez	MDLZ	82.04	102.05	37.1	7.6	3.9	2.75x	17x	23.23x
Hershey	HSY	36.78	41.87	11.3	2.7	2.4	3.71x	17.51x	24.09x
PepsiCo	PEP	204.86	248.28	92	16.5	9.6	2.71x	17.26x	27.26x
Nestlé	NESN SW	193.88	253.97	106	21	11.9	2.81x	14.14x	19x
Average							3.00x	16.48x	23.90x
Median							2.78x	17.13x	23.66x

Company Description

Mondelez – Global snacking leader with brands like Oreo and Cadbury, strong emerging market presence.

Hershey – U.S. confectionery giant best known for Reese's and Hershey brand, expanding into salty snacks.

PepsiCo – Diversified food & beverage company with Pepsi, Gatorade, and Frito-Lay snack portfolio.

Nestlé – World's largest food & beverage company with broad portfolio across coffee, dairy, and pet care.

Commentary

- Comparable companies trade at a median of 3x EV/Revenue, 17x EV/EBITDA, and 24x P/E.
- **Mondelez** is valued in line with peers, reflecting consistent growth in its snacking portfolio and exposure to emerging markets.
- **PepsiCo and Nestlé** trade at scale-driven valuations supported by diversified global portfolios.
- **Hershey** trades at a premium EV/Revenue multiple given its strong U.S. confectionery dominance.

Mondelēz International

Selected Precedent Transactions – Food & Beverage

Announcement Date	Acquirer	Target	EV ($B)	EV/Revenue X	EV/EBITDA X
10/1/24	PepsiCo	Siete Family	1.2	2.4x	12x
3/12/24	Campbell Soup	sovos brands	2.7	3.6x	14.2x
4/3/25	Ferrero Group	WK Kellogg Co	3.1	1.1x	10x
11/7/23	J.M. Smucker	Hostess Brands	5.6	4.1x	17.2x
Average				**2.8**	**13.35**
Median				**3.0**	**13.1**

Commentary

- Recent food & beverage transactions traded at 2.8x EV/Revenue (Average) and 13.2x EV/EBITDA (Median)
- J.M. Smucker acquired at a premium of 17.2x EV/EBITDA, underscores strong brand equity
- Ferrero's acquisition of WK Kellogg was strategic, expanding its U.S. presence

Company Description

- PepsiCo - Diversified food & beverage giant expands into Mexican-American snack brand (Siete).
- Campbell Soup- Expands into premium packaged food via Sovos Brands acquisition.
- Ferrero - Confectionery company expands U.S. presence with WK Kellogg cereals.
- J.M. Smucker - Expanded sweet snacks portfolio with Hostess acquisition.

Research Brief – Global Snacking Sector

Market Overview

- **Global snacking market size:** $692.53, ~5% CAGR through 2030
- **Growth drivers:** convenience, health-conscious eating, & demand for nutritious options
- **Largest segments:** confectionery, salty snacks, and healthy snacks.

Key Trends

- The snacks industry has seen strong M&A activity as strategics seek portfolio expansion, market entry, and economies of scale.
- Shift toward better-for-you snacks (low-sugar, plant-based, protein-rich)
- Emerging market (Asia & LATAM) fueling volume growth

Competitive Landscape

- **Global leaders:** Mondelez, Nestlé, PepsiCo, Hershey
- **Challenger brands:** KIND, RXBAR, Hu Kitchen (acquired)
- **Emerging startups:** Gaining traction via DTC and wellness positioning (functional bars, keto snacks)

Investment Implications

- PE sees opportunity in cash-flow stability + roll-up plays in fragmented segments
- VC capital flowing into functional food, wellness CPG, and DTC distribution models
- companies are willing to pay double the EBITDA multiples for different brands e.g. Smucker- Hostess at 17x